

Court No. - 34

Case :- WRIT - C No. - 34855 of 2011

Petitioner :- M/S Zaz Leather Complex Pvt. Ltd.

Respondent :- Kanpur Electricity Supply Co. Ltd. And Another

Petitioner Counsel :- Mayank Agrawal

Respondent Counsel :- Mridul Tripathi

Hon'ble Ashok Bhushan,J.

Hon'ble Pankaj Mithal,J.

Amendment as prayed in the amendment application is allowed.

Sri Mridul Tripathi has accepted notice on behalf of respondent nos. 1 and 2 prays for and is allowed two weeks' time to file counter affidavit.

List thereafter.

Learned counsel for the petitioner contends that petitioner has been paying regular bills as and when demanded by the Electricity Department and now by letter dated 06.06.2011, the amount of Rs. 1, 46, 48, 514/- have been demanded, alleged to be amount due w.e.f. April 2008 to May 2011.

He submits that the respondents themselves have been preparing bill and realizing the amount regularly, at this stage the authority has no power to say that the bills earlier paid are not correct.

Be as it may, submission raised by the petitioner needs consideration.

Let a counter affidavit be filed within two weeks.

List thereafter.

In the meantime, subject to depositing 1/4 of the amount demanded by notice dated 06.06.2011, petitioner's electricity connection shall be restored. Petitioner shall continue to pay regular bill as and when they become due. The electricity connection shall be restored within 48 hours from the date of depositing the aforesaid amount. .

Further recovery, in pursuance of the notice dated 06.06.2011, shall remain stayed till the next date of listing.

Order Date :- 27.6.2011

YK

Court No. - 35

Case :- WRIT - C No. - 34855 of 2011

Petitioner :- M/S Zaz Leather Complex Pvt. Ltd.

Respondent :- Kanpur Electricity Supply Co. Ltd. And Another

Counsel for Petitioner :- Mayank Agrawal

Counsel for Respondent :- Mridul Tripathi,S.C.

Hon'ble Bharati Sapru,J.

Hon'ble Saral Srivastava,J.

Case called out in revised list.

No one appears to press this matter. Learned counsel for the respondent is present.

The writ petition is dismissed for non-prosecution.

Interim order, if any, is discharged.

Order Date :- 4.5.2018

Ishan

Court No. - 35

Case :- WRIT - C No. - 34855 of 2011

Petitioner :- M/S Zaz Leather Complex Pvt. Ltd.

Respondent :- Kanpur Electricity Supply Co. Ltd. And Another

Counsel for Petitioner :- Mayank Agrawal

Counsel for Respondent :- Mridul Tripathi,S.C.

Hon'ble Bharati Sapru,J.

Hon'ble Saral Srivastava,J.

Orders on Civil Misc. Restoration Application no.5 of 2018

List is revised. Learned counsel for the petitioner is present. Learned counsel for the respondent is not present. Learned counsel for the petitioner will inform the learned counsel for the respondent that the matter will be taken up tomorrow and will obtain receipt thereof. Put up along with previous papers on 16.5.2018 for orders.

Order Date :- 15.5.2018

rk

Court No. - 35

Case :- WRIT - C No. - 34855 of 2011

Petitioner :- M/S Zaz Leather Complex Pvt. Ltd.

Respondent :- Kanpur Electricity Supply Co. Ltd. And Another

Counsel for Petitioner :- Mayank Agrawal

Counsel for Respondent :- Mridul Tripathi, S.C.

Hon'ble Bharati Sapru, J.

Hon'ble Saral Srivastava, J.

Cause shown is sufficient; in view of the fact stated in the affidavit filed along with the restoration application, the order dated 04.05.2018 dismissing the writ petition for non-prosecution is recalled. The writ petition is restored to its original position. The restoration application is allowed.

List this matter in the next cause list.

It is made clear that this matter has been restored on the condition that the Court shall not entertain illness in this matter on the next dates on behalf of the petitioner's counsel.

Order Date :- 16.5.2018

S.P.

Court No. - 35

Case :- WRIT - C No. - 34855 of 2011

Petitioner :- M/S Zaz Leather Complex Pvt. Ltd.

Respondent :- Kanpur Electricity Supply Co. Ltd. And Another

Counsel for Petitioner :- Mayank Agrawal

Counsel for Respondent :- Mridul Tripathi,S.C.

Hon'ble Bharati Sapru,J.

Hon'ble Saral Srivastava,J.

Learned Counsel for the respondent-department may take instructions by tomorrow i.e.31.05.2018 as to why the order of this Court for restoration is not being complied with.

Put up tomorrow i.e. 31.05.2018.

Order Date :- 30.5.2018

S.P.

Court No. - 35

Case :- WRIT - C No. - 34855 of 2011

Petitioner :- M/S Zaz Leather Complex Pvt. Ltd.

Respondent :- Kanpur Electricity Supply Co. Ltd. And Another

Counsel for Petitioner :- Mayank Agrawal

Counsel for Respondent :- Mridul Tripathi,S.C.

Hon'ble Bharati Sapru,J.

Hon'ble Saral Srivastava,J.

The respondents are directed to comply with the order dated 16.5.2018 or to show-cause why they have not done so far.

List this matter on 02.07.2018.

On that date the concerned Executive Engineer will appear in person.

A copy of the order may be given to the learned counsel for the respondent Shri Mridul Tripathi within next 24 hours for communication and necessary compliance.

Order Date :- 31.5.2018

pks

Court No. - 32

Case :- WRIT - C No. - 34855 of 2011

Petitioner :- M/S Zaz Leather Complex Pvt. Ltd.

Respondent :- Kanpur Electricity Supply Co. Ltd.
And Another

Counsel for Petitioner :- Mayank Agrawal

Counsel for Respondent :- Mridul Tripathi,S.C.

Hon'ble Shashi Kant Gupta,J.

Hon'ble Rajiv Gupta,J.

In pursuance of the order dated 31.05.2018 passed by this Court, Sri Jagadish Chandra Yadav presently posted as Executive Engineer, Nagriya Vidhuyut Vitrana Khand, Jajmau, (KESCO), District Kanpur Nagar has appeared in person before this Court and has filed his affidavit of compliance.

In paragraph 8 of the aforesaid affidavit, it has been interalia stated that the deponent has complied with the order dated 16.05.2018 and has connected the Electricity connection of the petitioner but till date the amount of Rs. 958205/- plus interest has not been deposited by the petitioner.

Since the electricity connection has already been restored in favour of the petitioner and keeping in view the averments made by the respondent in his affidavit of compliance, we do not propose to proceed further in the matter against Sri Jagadish Chandra Yadav presently posted as Executive Engineer, Nagriya Vidhuyut Vitrana Khand, Jajmau, (KESCO), District Kanpur Nagar. The notice issued against him stands discharged.

Since the counter and rejoinder affidavits have already been exchanged between the parties, let the matter be listed after three weeks before the appropriate Court for final disposal.

Order Date :- 2.7.2018

Arun

Court No. - 32

Case :- WRIT - C No. - 34855 of 2011

Petitioner :- M/S Zaz Leather Complex Pvt. Ltd.

Respondent :- Kanpur Electricity Supply Co. Ltd. And Another

Counsel for Petitioner :- Mayank Agrawal

Counsel for Respondent :- Mridul Tripathi,S.C.

Hon'ble Shashi Kant Gupta,J.

Hon'ble Ajit Kumar,J.

Passed over on the illness slip of learned counsel for the petitioner.

List in the next cause list.

Order Date :- 27.9.2018

MLK

Court No. - 3

Case :- WRIT - C No. - 34855 of 2011

Petitioner :- M/S Zaz Leather Complex Pvt. Ltd.

Respondent :- Kanpur Electricity Supply Co. Ltd. And Another

Counsel for Petitioner :- Mayank Agrawal

Counsel for Respondent :- Mridul Tripathi, Anubhav Singh, S.C.

Hon'ble Siddhartha Varma, J.

Hon'ble Manoj Bajaj, J.

On the request of learned counsel for the petitioner, list this case on 21.09.2023.

Order Date :- 25.8.2023

M.S. Ansari

(Manoj Bajaj, J.) (Siddhartha Varma, J.)

Court No. - 3

Case :- WRIT - C No. - 34855 of 2011

Petitioner :- M/S Zaz Leather Complex Pvt. Ltd.

Respondent :- Kanpur Electricity Supply Co. Ltd. And Another

Counsel for Petitioner :- Mayank Agrawal

Counsel for Respondent :- Mridul Tripathi, Anubhav Singh, S.C.

Hon'ble Siddhartha Varma, J.

Hon'ble Shekhar B. Saraf, J.

1. Heard Shri Mayank Agrawal, learned counsel for petitioner, Shri Anubhav Singh, learned counsel for Electricity Department and perused the record.
2. The petitioner who had entered into the business of producing leather products applied for an electricity connection of 480KVA in the year 2007 and the same was also granted to it on 29.2.2007. Since the connection was a high power connection for the purpose of metering the used electricity, the meter reading had to be finalized after applying of a Multiplying Factor (hereinafter referred to as the "MF") of 6.
3. The petitioner applied for an additional load of 400KVA and the same was also granted to it on 29.8.2009. Now the total load of the connection which the petitioner was getting was 880KVA. After the meter was installed, meter readings were taken by the licensee Electricity Company and there was no abnormality or discrepancy noted in the meter.
4. On 6.4.2011, a routine checking was carried out by the officials of the respondent Electricity Company and it was observed by the inspecting team in its report that MF in the petitioner's connection which was being applied at "6" ought to have been applied at "10" and, therefore, it submitted a report that an assessment proceeding be initiated against the petitioner with regard to the report that the MF ought to have been applied at 10 and not at 6.

5. The petitioner objected on 8.6.2011. However, on 6.6.2011 for a period of 4 years i.e. from the April 2008 to May 2011, the petitioner was given a fresh bill of Rs. 1,46,48,514/- and threat of disconnection was also given to the petitioner.

6. The petitioner has challenged the demand notice/order dated 6.6.2011 by means of this writ petition and has submitted that when the meter was installed by the Licencee as per "Installation and Operation of Meters Regulations, 2006" and that when the petitioner was being given the electricity and it was also being paid for as per the meter installed then a fresh demand could not be issued.

7. Learned counsel for the petitioner relied upon the Clause 6.15 of the U.P. Electricity Supply Code, 2005 (hereinafter referred to as the "Code") and Section 56 (2) of the Electricity Act, 2003 (hereinafter referred as the "Act"), and has submitted that no sum due from any consumer could be recovered after the period of two years from the date when such sum became first due.

8. Since the learned counsel for the petitioner has relied upon Clause 6.15 of the Code and Section 56(2) of the Act, both are being reproduced here as under respectively:-

"6.15 Recovery of Arrears

(a) The payments due to the Licensee shall be recovered as per provision of Section 56 of the Act, and arrears of land revenue as per the provisions of the U.P. Government Electrical Undertaking (Dues Recovery) Act, 1958, as amended from time to time.

(b) Notwithstanding anything contained in any other law for the time being in force, no sum due from any consumer shall be recoverable after the period of two years from the date when such sum became first due unless such sum has been shown continuously as recoverable a arrear of charges of electricity supplied, and the supply of the electricity shall not be disconnected by licensee for this reason."

Section 56 :(2) *Notwithstanding anything contained in any other law for the time being in force, no sum due from any consumer, under this section shall be recoverable after the period of two years from the date when such sum became first due unless such sum has been shown*

continuously as recoverable as arrear of charges for electricity supplied and the licensee shall not cut off the supply of the electricity."

9. Learned counsel for the Electricity Department Sri Anubhav Singh, however, in reply has submitted that when the petitioners load of electricity was raised from 480 KVA to 880 KVA then the strength of the transformer was increased from 30/5 to 50/5 and, therefore, the MF ought to have been increased from 6 to 10. For this purpose, he has drawn the attention of the Court towards the document dated 21.9.2007 which has been filed along with counter affidavit at page 25.

10. Learned counsel for the Electricity Department has also drawn the attention of the Court to the contents of paragraph no. 3(c) of the Counter Affidavit which states as under:-

"3C. That while enhancing the load from 480 KVA to 880 KVA the meter installed was not changed and only C.T. (Current Transformer) of 30/5 was replaced by 50/5. The copy of the Sealing Certificate dated 21.09.2007 is being filed and is marked as Annexure No. CA-3 to this affidavit."

11. Learned counsel for the Electricity Department has stated that the petitioner though has replied to the paragraph 3(c) of the counter affidavit in paragraph no 4 of the rejoinder affidavit, it has not categorically denied the contents of paragraph no. 3(c) of the counter affidavit and he, therefore, states that the contents of paragraph no. 3(c) of the counter affidavit be taken at their face value.

12. Learned counsel for the Electricity Department has further submitted that the mistake was a genuine mistake and that it was revealed only when the contractor for billing etc. was changed and the work of metering was handed over to M/s Infinite as has been mentioned in paragraph no. 3(h) of the counter affidavit. He, therefore, submitted that it was in the fitness of things that the electricity due which was being raised by the demand notice be paid by the petitioner.

13. Learned counsel for the Electricity Department has relied upon the case of ***Assistant Engineer (D1), Ajmer Vidyut Vitran Nigam Limited and another Vs.***

Rahamatullah Khan @ Rahamjulla passed in Civil Appeal No. 1672 of 2020 (Arising out of SLP (Civil) No. 5190 of 2019) and has submitted that as per Section 56(2) of the Act, there was no limitation, if a supplementary bill was being provided and he submits that the limitation of two years given in Section 56(2) of the Act would commence from the date when the mistake was discovered by the Electricity Company. In the instant case, he submits that mistake was discovered well within two years.

14. Having heard the learned counsel for the parties, we are definitely of the view that the electricity connection was taken by the petitioner in the year 2007 and the MF at that time was 6. The MF might have increased with the increase of the load from 6 to 10. However, taking into consideration, the demand was raised on 6.6.2011, we are definitely of the view that the demand could not be for more than two years preceding the bill which was sent on 6.6.2011.

15. Under such circumstances, we are of the view that any amount which was being demanded for a period which was before 6.6.2009 could not be taken by the Electricity Department. The judgment in ***Assistant Engineer (D1), Ajmer Vidyut Vitran Nigam Limited and another (supra)***, even though deals with Section 56(2) of the Act, it does not deal with the provisions of Clause 6.15 of the Code. The judgement in paragraph no. 9 has stated that the licensee company was not precluded from raising a supplementary demand after the expiry of the limitation period of two years but, in the instant case, we find that no supplementary bill was being sent but a fresh bill was being sent for a period of more than two years. The error as had been committed by the Electricity Department could have been known to it only. The petitioner bonafidely had paid all the bills which were sent to it. We are, therefore, of the view that the demand which was raised on 6.6.2011 could have been raised the demand for only two years preceding the date 6.6.2011.

16. Under such circumstances, the bill dated 6.6.2011 is quashed and we direct the Electricity Department to rectify the bill which would charge the petitioner only for a period prior to two years prior to 6.6.2011. A fresh bill be accordingly issued to

the petitioner.

17. With the aforesaid observations, this writ petition is **partly allowed**.

Order Date :- 13.12.2023

Sharad/-/PK

(Shekhar B. Saraf, J.) (Siddhartha Varma, J.)